

**SUBSTITUTE FOR
SENATE BILL NO. 865**

A bill to make, supplement, and adjust appropriations for the department of military and veterans affairs for the fiscal years ending September 30, 2026 and September 30, 2027; and to provide for the expenditure of the appropriations.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 1

LINE-ITEM APPROPRIATIONS
FOR FISCAL YEAR 2026-2027

Sec. 101. There is appropriated for the department of military and veterans affairs for the fiscal year ending September 30, 2027, from the following funds:

DEPARTMENT OF MILITARY AND VETERANS AFFAIRS

APPROPRIATION SUMMARY



1	Full-time equated unclassified positions	9.0	
2	Full-time equated classified positions	967.0	
3	GROSS APPROPRIATION		\$ 263,938,000
4	Total interdepartmental grants and		
5	intradepartmental transfers		101,800
6	ADJUSTED GROSS APPROPRIATION		\$ 263,836,200
7	Federal revenues:		
8	Total federal revenues		154,412,200
9	Special revenue funds:		
10	Total local revenues		0
11	Total private revenues		100,000
12	Total other state restricted revenues		12,973,100
13	State general fund/general purpose		\$ 96,350,900
14	Sec. 102. MILITARY		
15	Full-time equated unclassified positions	9.0	
16	Full-time equated classified positions	422.5	
17	Unclassified salaries--FTEs	9.0	\$ 1,934,400
18	Headquarters and armories--FTEs	103.0	24,312,800
19	Michigan youth challenge academy--FTEs	68.0	10,974,700
20	Military family relief fund		150,000
21	Military retirement		2,585,600
22	Military training sites and support facilities--		
23	-FTEs	240.0	47,066,500
24	National guard operations		600,500
25	Michigan national guard member benefit fund--		
26	FTEs	11.5	11,278,600
27	Starbase grant		2,322,000
28	GROSS APPROPRIATION		\$ 101,225,100



1	Appropriated from:		
2	Interdepartmental grant revenues:		
3	IDG - state police		101,800
4	Federal revenues:		
5	DOD - DOA - NGB		66,608,700
6	Federal counternarcotics revenues		100,000
7	Special revenue funds:		
8	Private donations		90,000
9	Billeting fund		1,378,500
10	Military family relief fund		150,000
11	Morale, welfare, and recreation fund		100,000
12	Rental fund		187,700
13	Test project fund		100,000
14	State general fund/general purpose	\$	32,408,400
15	Sec. 103. MICHIGAN VETERANS AFFAIRS AGENCY		
16	Full-time equated classified positions	61.0	
17	County veteran service grants--FTEs	2.0	\$ 4,255,500
18	Michigan veterans affairs agency		
19	administration--FTEs	49.0	8,491,000
20	Veterans trust fund administration--FTEs	8.0	1,197,000
21	Veterans trust fund grants		2,500,000
22	Veterans service grants--FTEs	2.0	4,255,500
23	GROSS APPROPRIATION	\$	20,699,000
24	Appropriated from:		
25	USDVA - VHA		758,800
26	Special revenue funds:		
27	Private donations		10,000
28	Michigan veterans trust fund		3,697,000



1	Veterans license plate fund		50,000
2	State general fund/general purpose	\$	16,183,200
3	Sec. 104. MICHIGAN VETERANS' FACILITY AUTHORITY		
4	Full-time equated classified positions	483.5	
5	Chesterfield Township home for veterans--FTEs	110.0	\$ 34,948,800
6	D.J. Jacobetti home for veterans--FTEs	179.0	26,759,200
7	Grand Rapids home for veterans--FTEs	176.0	40,244,700
8	Information technology services and projects		1,749,600
9	Michigan veteran homes administration--FTEs	18.0	4,972,000
10	Veterans cemetery--FTEs	0.5	134,500
11	GROSS APPROPRIATION	\$	108,808,800
12	Appropriated from:		
13	USDVA - VHA		46,653,700
14	HHS - HCFA, Medicare, hospital insurance		1,345,400
15	HHS - HCFA title XIX, Medicaid		8,781,300
16	Special revenue funds:		
17	Income and assessments		6,309,900
18	State general fund/general purpose	\$	45,718,500
19	Sec. 105. CAPITAL OUTLAY		
20	Armory maintenance	\$	1,000,000
21	Land and acquisitions		1,000,000
22	Special maintenance - National Guard		30,000,000
23	Special maintenance - veterans' homes		500,000
24	GROSS APPROPRIATION	\$	32,500,000
25	Appropriated from:		
26	Federal revenues:		
27	DOD - DOA - NGB		30,000,000
28	Special revenue funds:		



1	Michigan national guard construction fund		1,000,000
2	State general fund/general purpose	\$	1,500,000
3	Sec. 106. INFORMATION TECHNOLOGY		
4	Information technology services and projects	\$	705,100
5	GROSS APPROPRIATION	\$	705,100
6	Appropriated from:		
7	Federal revenues:		
8	DOD - DOA - NGB		164,300
9	State general fund/general purpose	\$	540,800

PART 1A

LINE-ITEM APPROPRIATIONS

FOR FISCAL YEAR 2025-2026

Sec. 150. There is appropriated for the department of military and veterans affairs to supplement appropriations for the fiscal year ending September 30, 2026, from the following funds:

17	DEPARTMENT OF MILITARY AND VETERANS AFFAIRS		
18	APPROPRIATION SUMMARY		
19	Full-time equated unclassified positions	0.0	
20	Full-time equated classified positions	0.0	
21	GROSS APPROPRIATION	\$	152,000,000
22	Total interdepartmental grants and		
23	intradepartmental transfers		0
24	ADJUSTED GROSS APPROPRIATION	\$	152,000,800
25	Federal revenues:		
26	Total federal revenues		0
27	Special revenue funds:		
28	Total local revenues		0



1	Total private revenues	0
2	Total other state restricted revenues	152,000,000
3	State general fund/general purpose	\$ 0
4	Sec. 151. ONE-TIME APPROPRIATIONS	
5	Selfridge Air National Guard base	\$ 152,000,000
6	GROSS APPROPRIATION	\$ 152,000,000
7	Appropriated from:	
8	Special revenue funds:	
9	State restricted revenue	152,000,000
10	State general fund/general purpose	\$ 0

PART 2

PROVISIONS CONCERNING APPROPRIATIONS
FOR FISCAL YEAR 2026-2027

GENERAL SECTIONS

Sec. 201. In accordance with section 30 of article IX of the state constitution of 1963, for the fiscal year ending September 30, 2027, total state spending under part 1 from state sources is \$109,324,000.00 and state spending under part 1 from state sources to be paid to local units of government is \$4,088,000.00. The following itemized statement identifies appropriations from which spending to local units of government will occur:

DEPARTMENT OF MILITARY AND VETERANS AFFAIRS

County veteran service grants	\$ 4,041,500
Military training sites and support facilities	46,500
TOTAL	\$ 4,088,000

Sec. 202. The appropriations under this part and part 1 are subject to the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.



1 Sec. 203. As used in this part and part 1:

2 (a) "CMS" means the United States Department of Health and
3 Human Services, Centers for Medicare and Medicaid Services.

4 (b) "Department" means the department of military and veterans
5 affairs.

6 (c) "DHHS" means the department of health and human services.

7 (d) "Director" means the director of the department.

8 (e) "FTE" means full-time equated position in the classified
9 service of this state.

10 (f) "IDG" means interdepartmental grant.

11 (g) "MVAA" means the Michigan veterans affairs agency created
12 by Executive Reorganization Order No. 2013-2, MCL 32.92.

13 (h) "MVFA" means the Michigan veterans' facility authority
14 created under section 3 of the Michigan veterans' facility
15 authority act, 2016 PA 560, MCL 36.103.

16 (i) "MVH" means the Michigan veteran homes as that term is
17 defined in the Michigan veterans' facility authority act, 2016 PA
18 560, MCL 36.102.

19 (j) "MYCA" means the Michigan youth challenge academy.

20 (k) "Standard report recipients" means the senate and house
21 appropriations subcommittees on the department budget, the senate
22 and house fiscal agencies, the senate and house policy offices, and
23 the state budget office.

24 (l) "USDVA" means the United States Department of Veterans
25 Affairs.

26 (m) "USDVA-VHA" means the USDVA Veterans Health
27 Administration.

28 (n) "Veterans' facility" means that term as defined in section
29 2 of the Michigan veterans' facility authority act, 2016 PA 560,



1 MCL 36.102.

2 (o) "VSO" means veterans service organization.

3 (p) "Work project" means that term as defined in section 404
4 of the management and budget act, 1984 PA 431, MCL 18.1404, and
5 that meets the criteria in section 451a(1) of the management and
6 budget act, 1984 PA 431, MCL 18.1451a.

7 Sec. 204. A department or agency shall use the internet to
8 fulfill the reporting requirements of this part and shall make each
9 report readily accessible to the public and conspicuously post each
10 required report in a single archivable location on the department's
11 or agency's Michigan.gov website not later than the due date
12 required for each report. In addition to placing all reports
13 required in the current fiscal year on the department's or agency's
14 website, the department or agency shall maintain on its website all
15 reports placed on the website from previous fiscal years posted by
16 fiscal year in the same single archivable location. The department
17 or agency shall also transmit all required reports for the current
18 fiscal year to the standard report recipients and any other
19 required recipients by email.

20 Sec. 205. To the extent permissible under section 261 of the
21 management and budget act, 1984 PA 431, MCL 18.1261, all of the
22 following apply to the expenditure of funds appropriated in part 1:

23 (a) The funds must not be used for the purchase of foreign
24 goods or services, or both, if competitively priced and of
25 comparable quality American goods or services, or both, are
26 available.

27 (b) Preference must be given to goods or services, or both,
28 manufactured or provided by Michigan businesses, if they are
29 competitively priced and of comparable quality.



1 (c) Preference must be given to goods or services, or both,
2 that are manufactured or provided by Michigan businesses owned and
3 operated by veterans, if they are competitively priced and of
4 comparable quality.

5 Sec. 206. The department shall not take disciplinary action
6 against an employee of the department or a state agency for
7 communicating with a member of the legislature or legislative
8 staff, unless the communication is prohibited by law and the
9 department or agency is exercising its authority as provided by
10 law.

11 Sec. 207. Consistent with section 217 of the management and
12 budget act, 1984 PA 431, MCL 18.1217, the department and each
13 agency receiving appropriations part 1 shall prepare a report on
14 out-of-state travel expenses not later than January 1. The report
15 must list all travel by classified and unclassified employees
16 outside this state in the previous fiscal year that was funded in
17 whole or in part with funds appropriated in the department's or
18 agency's budget. The department or agency shall submit the report
19 to the standard report recipients and to the senate and house
20 appropriations committees. The report must include all of the
21 following information:

22 (a) The dates of each travel occurrence.

23 (b) The total transportation and related expenses of each
24 travel occurrence and the proportion funded with state general
25 fund/general purpose revenues, state restricted revenues, federal
26 revenues, local revenues, and private revenues, including specific
27 sources of state restricted, federal, local, and private revenues.

28 Sec. 209. Not later than December 15, the state budget office
29 shall prepare and submit a report that provides estimates of the



1 total general fund/general purpose appropriation lapses at the
2 close of the previous fiscal year. The report must summarize the
3 projected year-end general fund/general purpose appropriation
4 lapses by major departmental program or program areas. The state
5 budget office shall transmit the report to the standard report
6 recipients and to the chairpersons of the senate and house
7 appropriations committees.

8 Sec. 210. (1) In addition to the funds appropriated in part 1,
9 there is appropriated an amount not to exceed \$8,600,000.00 for
10 federal contingency authorization. These funds are not available
11 for expenditure until they have been transferred to another line
12 item in part 1 under section 393(2) of the management and budget
13 act, 1984 PA 431, MCL 18.1393.

14 (2) In addition to the funds appropriated in part 1, there is
15 appropriated an amount not to exceed \$1,100,000.00 for state
16 restricted contingency authorization. These funds are not available
17 for expenditure until they have been transferred to another line
18 item in part 1 under section 393(2) of the management and budget
19 act, 1984 PA 431, MCL 18.1393.

20 (3) In addition to the funds appropriated in part 1, there is
21 appropriated an amount not to exceed \$250,000.00 for local
22 contingency authorization. These funds are not available for
23 expenditure until they have been transferred to another line item
24 in part 1 under section 393(2) of the management and budget act,
25 1984 PA 431, MCL 18.1393.

26 (4) In addition to the funds appropriated in part 1, there is
27 appropriated an amount not to exceed \$100,000.00 for private
28 contingency authorization. These funds are not available for
29 expenditure until they have been transferred to another line item



1 in part 1 under section 393(2) of the management and budget act,
2 1984 PA 431, MCL 18.1393.

3 Sec. 211. (1) The department or agency shall cooperate with
4 the department of technology, management, and budget to maintain a
5 searchable website accessible by the public at no cost that
6 includes, but is not limited to, all of the following for the
7 department or each agency:

8 (a) Fiscal year-to-date expenditures by category.

9 (b) Fiscal year-to-date expenditures by appropriation unit.

10 (c) Fiscal year-to-date payments to a selected vendor,
11 including the vendor name, payment date, payment amount, and
12 payment description.

13 (2) The department shall cooperate with the department of
14 technology, management, and budget to update the searchable website
15 on a quarterly basis.

16 Sec. 212. Not later than 14 days after the release of the
17 executive budget recommendation, the department shall cooperate
18 with the state budget office to provide an annual report on
19 estimated state restricted fund balances, state restricted fund
20 projected revenues, and state restricted fund expenditures for the
21 previous 2 fiscal years. The report must be submitted to the
22 standard report recipients and to the chairpersons of the senate
23 and house appropriations committees.

24 Sec. 213. (1) Funds appropriated in part 1 must not be used to
25 restrict or impede a marginalized community's access to government
26 resources, programs, or facilities.

27 (2) From the funds appropriated in part 1, local governments
28 shall report any action or policy that attempts to restrict or
29 interfere with the duties of a local health officer.



1 Sec. 214. If the state administrative board, acting under
2 section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount
3 appropriated under part 1, the legislature may, by a concurrent
4 resolution adopted by a majority of the members elected to and
5 serving in each house, inter-transfer funds within part 1 for the
6 particular department, board, commission, officer, or institution.

7 Sec. 215. To the extent permissible under the management and
8 budget act, 1984 PA 431, MCL 18.1101 to 18.1594, the director of
9 each department or agency receiving appropriations in part 1 shall
10 take all reasonable steps to ensure geographically disadvantaged
11 business enterprises compete for and perform contracts to provide
12 services or supplies, or both. The director shall strongly
13 encourage firms with which the department contracts to subcontract
14 with certified geographically disadvantaged business enterprises
15 for services, supplies, or both. As used in this section,
16 "geographically disadvantaged business enterprises" means that term
17 as defined in Executive Directive No. 2023-1.

18 Sec. 216. On a quarterly basis, the department or agency
19 receiving appropriations in part 1 shall report on the number of
20 full-time equated positions in pay status by civil service
21 classification, including a comparison by line item of the number
22 of full-time equated positions authorized from funds appropriated
23 in part 1 to the actual number of full-time equated positions
24 employed by the department at the end of the reporting period. The
25 report must be submitted to the standard report recipients and to
26 the senate and house appropriations committees.

27 Sec. 217. The state budget director shall take steps to ensure
28 that all state fiscal recovery funds allocated to this state under
29 the American rescue plan act of 2021, Public Law 117-2, are



1 expended by December 31, 2026, as required by law. Any state fiscal
2 recovery funds that would otherwise lapse after September 30, 2026
3 are automatically reappropriated for the same purpose as originally
4 authorized and available for expenditure through December 31, 2026
5 and any subsequent financial close out period.

6 Sec. 218. (1) The state budget director shall take steps to
7 ensure that all state fiscal recovery funds allocated to this state
8 under the American rescue plan act of 2021, Public Law 117-2, are
9 expended by December 31, 2026, as required by law. The state budget
10 director may reallocate appropriated funds for the purpose of fully
11 utilizing state fiscal recovery funds that are in jeopardy of not
12 meeting the expenditure deadline for reasons that may include, but
13 are not limited to, completed projects coming in under budget or
14 funds unable to be fully used by subrecipients. The state budget
15 director shall reallocate any of the funds reallocated under this
16 subsection to the programs or purposes specified in this section.
17 Any funds reallocated are unappropriated and immediately
18 reappropriated for the following purposes:

19 (a) To reclassify general fund/general purpose appropriations
20 for payroll and covered benefits for eligible public health and
21 safety employees at the department of corrections.

22 (b) To reclassify general fund/general purpose appropriations
23 for payroll and covered benefits for eligible public health and
24 safety employees at the department of state police.

25 (2) All applicable guidance, implementation, and reporting
26 provisions of the American rescue plan act of 2021, Public Law 117-
27 2, must be followed for state fiscal recovery funds reallocated and
28 reappropriated under subsection (1).

29 (3) The state budget director shall notify the senate and the



1 house appropriations committees not later than 1 business day after
2 making any reallocations under subsection (1). The notification
3 must include the authorized program under which funds were
4 originally appropriated, the amount of the reallocation, the
5 program, or programs, or purpose, and the department to which the
6 funds are being reallocated under subsection (1), and the amount
7 reallocated to each program or purpose.

8 Sec. 219. The department shall receive and retain copies of
9 all reports funded from appropriations in part 1. The department
10 shall follow federal and state law and guidelines for short-term
11 and long-term retention of records. The department may
12 electronically retain copies of reports unless otherwise required
13 by federal and state guidelines.

14 Sec. 220. Not later than April 1, the department shall report
15 on each specific policy change made to implement a public act
16 affecting the department that took effect during the previous
17 calendar year. The report must include reference to the public act
18 that necessitates the policy change. The department shall submit
19 the report to the standard report recipients, to the senate and
20 house appropriations committees, and to the joint committee on
21 administrative rules.

22 Sec. 222. To the extent possible, the department shall not
23 expend appropriations under part 1 until all existing authorized
24 work project funds available for the same purposes are exhausted.

25 Sec. 223. Funds appropriated in part 1 for capital outlay must
26 be carried forward at the end of the fiscal year consistent with
27 section 248 of the management and budget act, 1984 PA 431, MCL
28 18.1248.

29 Sec. 224. If the department intends to sell any department



1 real property, the department shall submit notification of that
2 intent to the standard report recipients 60 days before the public
3 announcement of that intention.

4 Sec. 225. The department shall provide biannual reports that
5 include the following data:

6 (a) A list of all major work projects, including a status
7 report of each project.

8 (b) The department's financial status, featuring a report of
9 budgeted versus actual expenditures by part 1 line item, including
10 a year-end projection of budget requirements.

11 (c) The number of active employees at the close of the
12 reporting period by job classification and departmental branch of
13 service.

14 Sec. 226. (1) Not later than 30 days after enactment of this
15 act, the house of representatives and senate shall provide to the
16 state budget office a jointly agreed-upon list of legislatively
17 directed spending items funded in part 1 as defined in section 364
18 of the management and budget act, 1984 PA 431, MCL 18.364. The list
19 must include all information and documents pertaining to the funded
20 items as publicly disclosed in accordance with sections 364 and
21 364a of the management and budget act, 1984 PA 431, MCL 18.364 and
22 18.364a.

23 (2) In accordance with section 364(4) of the management and
24 budget act, 1984 PA 431, MCL 18.1364, the department or agency
25 administering the grant shall post a report in a publicly
26 accessible location on its website beginning March 15 of the
27 current fiscal year. The department or agency shall update the
28 report and shall post an updated report not later than June 15 of
29 the current fiscal year and again not later than September 15 of



1 the current fiscal year. The department shall include in the report
2 the most comprehensive information the department has available at
3 the time of posting for grants awarded.

4 Sec. 227. (1) Money privately donated to the department in
5 excess of the appropriation in part 1 is appropriated and available
6 for expenditure for departmental operations and for the purpose
7 designated by the private source, if specified.

8 (2) Any unexpended and unencumbered private donations to
9 support the department at the close of this fiscal year do not
10 lapse to the general fund and must be carried forward to the
11 subsequent fiscal year.

12 (3) If a private donation received is \$10,000.00 or more, the
13 department must submit a report within 14 calendar days after
14 receiving that donation that provides the amount of the donation
15 and the purpose for which the money will be expended, if known.

16 Sec. 229. By April 1, the department shall provide to the
17 standard report recipients a copy of its annual strategic plan
18 prepared in compliance with section 363 of the management and
19 budget act, 1984 PA 431, MCL 18.1363. The plan must include the
20 mission, vision, goals, strategies, and performance measures of the
21 department.

22 Sec. 233. (1) The department shall maximize utilization of the
23 department's in-person state workforce. The department shall
24 prioritize occupancy utilization of office space for each division
25 within the department. Employees with job responsibilities that
26 require the employees to serve in their capacities outside of an
27 office shall be monitored each pay period to ensure all work hours
28 reported on the timesheet were actually worked.

29 (2) The department shall comply with requirements set by the



1 office of the state employer on in-person work and utilization and
2 occupancy rates of state buildings to ensure in-person work is
3 optimized and occupancy rates are 80% or higher, subject to market
4 conditions.

5 (3) The department shall adhere to the rules and regulations
6 of civil service, which state that the standard biweekly work
7 period for a full-time employee in the classified service of this
8 state is the equivalent of 80 hours of work. The department shall
9 establish policies and processes to ensure all employees are
10 working their jobs during agreed-upon business hours.

11 Sec. 235. Not later than 6 months after the state budget
12 office issues work project letters, the department shall submit an
13 annual report that summarizes all work project accounts. The report
14 must include all of the following:

15 (a) A list of all work project accounts.

16 (b) The status of all work project accounts, including amounts
17 expended, amounts encumbered, and available balances for each
18 account.

19 (c) The amount of funds that lapsed from any previously
20 designated work project accounts, the name and description of the
21 work project account, and the funds that received the lapsed
22 amounts.

23 Sec. 236. Total authorized appropriations from all sources
24 under part 1 for legacy costs for the fiscal year ending September
25 30, 2027 are estimated at \$9,082,500.00. From this amount, total
26 appropriations for pension-related legacy costs for the department
27 are estimated at \$9,082,500.00. Total appropriations for retiree
28 health care legacy costs for the department are estimated at \$0.00.

29 Sec. 237. Not later than November 15, the department shall



1 disclose on a publicly accessible website private and other third-
2 party funds received by the department in the previous fiscal year.
3 The report must include the amount of funding received, the
4 specific source of funding received, the purpose for which funding
5 was expended, and the amount of any remaining funds. The department
6 shall submit the report to the standard report recipients and to
7 the chairpersons of the senate and house appropriations committees.

8 Sec. 239. A department or agency that receives an
9 appropriation under this part or part 1 must provide an annual
10 report to the standard report recipients detailing federal policy
11 changes that do, or are expected to do, any of the following:

12 (a) Affect the operations of the department, including
13 reductions in federal revenue. For federal revenue reductions, the
14 annual report must detail the impact on the department or agency
15 and residents of this state, including, but not limited to, all of
16 the following information:

17 (i) The amount of additional state revenue required to replace
18 the lost federal revenue.

19 (ii) The services the department or agency will have to reduce
20 or eliminate due to the lost revenue.

21 (iii) The anticipated fiscal impact on residents of this state.

22 (b) Affect an industry, community, population, or other group
23 regulated or served by, or that otherwise engages with, the
24 department or agency.

25 (c) Create a regulatory gap that could negatively impact the
26 public.

27 (d) Increase the department's or agency's costs.

28 (e) Reduce or eliminate a program that provides services to
29 residents of this state.



1 Sec. 240. The department shall report on any court settlement
2 that may require further legislative review of state statutory
3 programs or regulations.

4 Sec. 241. (1) In addition to any other requirements under this
5 part, if the department is authorized under this part to expend
6 funds in addition to those appropriated in part 1, the department
7 must do all of the following:

8 (a) Not later than November 1, provide a report to the
9 chairpersons of the house and senate appropriations committees, the
10 house and senate fiscal agencies, and the state budget office that
11 details all of the following:

12 (i) The type of funding received during the previous fiscal
13 year that was authorized in part 2 of the article that made
14 appropriations for the department in the previous fiscal year.

15 (ii) When the funding was received.

16 (iii) The amount of funding received.

17 (iv) How much of the funding was spent and for what purpose or
18 purposes.

19 (b) Not later than 60 days after receipt of funds authorized
20 under this part, provide a report to the chairpersons of the house
21 and senate appropriations committees, the house and senate fiscal
22 agencies, and the state budget office that details all of the
23 following:

24 (i) The type of funding received.

25 (ii) When the funding was received.

26 (iii) The amount of funding received.

27 (iv) The anticipated or actual amount to be spent and the
28 specified purpose or purposes.

29 (c) Not later than February 15, provide a report to the



1 chairpersons of the house and senate appropriations committees, the
2 house and senate fiscal agencies, and the state budget office with
3 an estimate of funding authorized by this part that the department
4 anticipates it will receive in the subsequent fiscal year,
5 identifying all of the following:

6 (i) The type or types of funding anticipated.

7 (ii) The amount or amounts of funding anticipated.

8 (iii) The purpose or purposes of the funding.

9 (2) If another reporting requirement under this part would
10 provide substantially similar information on a substantially
11 similar time frame as would be reported under subsection (1),
12 subsection (1) does not apply.

13
14 **MILITARY**

15 Sec. 301. (1) Not later than October 30, the department shall
16 report a list of the current unclassified positions, which shall
17 include the official titles and responsibilities of each position.

18 (2) Upon the department being granted a request for an
19 additional unclassified employee position from the civil service
20 commission, or for any substantive changes to the duties of an
21 existing unclassified employee position, the department shall
22 report on these changes within 15 days.

23 Sec. 302. (1) The department shall operate and maintain
24 National Guard armories and implement a system to measure the
25 condition and adequacy of those armories.

26 (2) Not later than January 15, the department shall evaluate
27 armories and submit an annual report on the status of the armories
28 that includes the following information:

29 (a) An assessment of the grounds and facilities of each armory



1 to objectively measure and determine the current facility condition
2 and capability to support authorized manpower, unit training, and
3 operations.

4 (b) Recommendations for the placement of new armories, the
5 relocation or consolidation of existing armories, or a change in
6 the mission of units assigned to armories to ideally position the
7 National Guard in current or projected population centers.

8 (c) Recommendations for the enhanced use of armories to
9 facilitate family support programs during deployments.

10 (d) An analysis of the feasibility, potential costs, and
11 benefits of use of armories shared with other local, state, or
12 federal agencies to improve responses to local emergencies as well
13 as the community support provided to armories.

14 (e) An investment strategy and proposed funding amounts in a
15 prioritized project list to correct the most critical facility
16 shortfalls across the inventory of armories in this state.

17 (f) A review of the status of construction activities and
18 expenditures of the armory modernization project funded in section
19 107 of article 10 of 2022 PA 166 and section 104 of 2022 PA 194.

20 Sec. 303. (1) The department shall maintain the MYCA to
21 provide values, skills, education, and self-discipline instruction
22 for at-risk youth as provided under 32 USC 509.

23 (2) The department shall take steps to recruit candidates to
24 the MYCA from economically disadvantaged areas, including those
25 with low-income and high-unemployment backgrounds.

26 (3) The department shall partner with the DHHS to identify
27 youth who may be eligible for MYCA from those youth served by DHHS
28 services programs. The department shall give these eligible youth
29 priority for enrollment.



1 (4) The department shall maintain the MYCA to graduate at
2 least the target number of graduates consistent with the state's
3 cooperative agreement with the National Guard Bureau regarding
4 program operations.

5 (5) The department shall monitor individual academic success
6 as measured by the number of individuals who have received a
7 general equivalency diploma, high school diploma, or high school
8 credit recovery or by the improvement of tests of adult basic
9 education scores, or both.

10 (6) Any unexpended and unencumbered private donations to
11 support the MYCA at the close of this fiscal year do not lapse to
12 the general fund and must be carried forward to the subsequent
13 fiscal year.

14 Sec. 304. (1) Not later than January 15, the department shall
15 provide a report on the revenues, expenditures, and fund balance of
16 the military family relief fund. The department shall itemize
17 expenditures in the report by purpose, including, but not limited
18 to, for advertising and assistance grants. The report must also
19 include information on the number of applications for assistance
20 received, approved, and denied for the previous fiscal year.

21 (2) From the funds appropriated in part 1, the department
22 shall provide outreach to the Michigan families of members of the
23 reserve component of the Armed Forces of the United States called
24 into active duty on the availability of assistance through the
25 military family relief fund.

26 Sec. 305. (1) The department shall do all of the following:

27 (a) Provide Army and Air National Guard forces, when directed,
28 for state and local emergencies and in support of national military
29 requirements.



1 (b) Operate and maintain Army National Guard training
2 facilities, including Fort Custer and Camp Grayling.

3 (c) Maintain a system that measures the condition and adequacy
4 of air facilities using both quality and functionality criteria.

5 (d) Operate and maintain Air National Guard air bases,
6 including Selfridge Air National Guard base, Battle Creek Air
7 National Guard base, and Alpena combat readiness training center.

8 (2) Not later than March 1, the department shall report the
9 following information for the previous calendar year:

10 (a) The apportioned and assigned strength of the Michigan Army
11 National Guard.

12 (b) The apportioned and assigned strength of the Michigan Air
13 National Guard.

14 (c) Recruiting, retention, and attrition data, including
15 measurement against stated performance goals, for the Michigan Army
16 National Guard.

17 (d) Recruiting, retention, and attrition data, including
18 measurement against stated performance goals, for the Michigan Air
19 National Guard.

20 Sec. 306. (1) The billeting fund is created within the state
21 treasury.

22 (2) The state treasurer shall deposit money and other assets
23 received from any source into the fund. The state treasurer shall
24 direct the investment of money in the fund and credit interest and
25 earnings from the investments to the fund.

26 (3) All of the fees and other revenues generated from the
27 operation of the chargeable transient quarters program must be
28 deposited in the fund.

29 (4) Money in the fund at the close of the fiscal year remains



1 in the fund and does not lapse to the general fund.

2 (5) The department is the administrator of the fund for
3 auditing purposes.

4 (6) The department shall expend money from the fund to support
5 program operations and the maintenance and operations of the
6 chargeable transient quarters program as appropriated in part 1.

7 (7) Not later than January 15, the department shall submit an
8 annual report of operations and expenditures regarding the fund for
9 the previous fiscal year.

10 Sec. 307. (1) From the funds appropriated in part 1 for
11 Michigan National Guard member benefit program, the department
12 shall maintain a Michigan National Guard tuition assistance program
13 as provided under the Michigan National Guard tuition assistance
14 act, 2014 PA 259, MCL 32.431 to 32.434. The Michigan National Guard
15 tuition assistance program must do all of the following:

16 (a) Bolster military readiness by increasing recruitment and
17 retention of Michigan Army and Air National Guard members.

18 (b) Fill federally authorized strength levels for the state.

19 (c) Improve the Michigan Army and Air National Guard's
20 competitive draw from other military enlistment options in the
21 state.

22 (d) Enhance the ability of the Michigan Army and Air National
23 Guard to compete for guard members and federal dollars with
24 surrounding states.

25 (e) Increase the pool of eligible candidates within the
26 Michigan Army and Air National Guard to become commissioned
27 officers.

28 (2) The department shall make efforts to increase the number
29 of National Guard members who have received a credential or are



1 still enrolled in the Michigan National Guard tuition assistance
2 program after their initial term of enlistment. To evaluate the
3 effectiveness of the program, the department shall monitor the
4 number of new recruits and new reenlistments and the percentage of
5 those who become participants in the program to determine whether
6 the percentage of authorized Michigan Army and Air National Guard
7 strength obtained and retained is competitive in comparison with
8 the neighboring army and air national guards from Illinois,
9 Indiana, Ohio, and Wisconsin.

10 (3) Not later than March 1, the department shall provide a
11 report on the Michigan National Guard tuition assistance program.
12 The report must include, but is not limited to, the following
13 information for the previous fiscal year:

14 (a) The number of guard members, spouses, children, and
15 dependents that received tuition assistance, broken down by the
16 number of each type of recipient.

17 (b) The educational institutions from which those guard
18 members, spouses, children, and dependents received education or
19 training under the program, broken down by the number of each type
20 of recipient and each type of educational or training program for
21 which tuition assistance was received.

22 (c) The total amount of financial assistance received by each
23 educational institution.

24 (d) The total funds expended on the program for financial
25 assistance for each type of recipient and each type of educational
26 or training program.

27 (e) The total funds expended on the program for administrative
28 costs of the department.

29 (f) For each FTE position appropriated in part 1 for the



1 Michigan National Guard tuition assistance program, a description
2 of the position's functions, assigned responsibilities, and, if
3 applicable, the length of time that the position has been vacant.

4 (g) The total number of applications for tuition assistance
5 approved and denied.

6 (h) The number of guard members, spouses, children, and
7 dependents receiving tuition assistance who successfully completed
8 an educational or training program for which tuition assistance was
9 received.

10 (i) A description of each educational or training program
11 offered through the Michigan National Guard tuition assistance
12 program.

13 (j) A list of any educational institutions and training
14 programs removed from eligibility and the rationale for that
15 removal.

16 (k) An explanation of any identified barriers to the
17 successful utilization of the program, or other unmet needs of the
18 program and applicable proposals for legislative action to address
19 those barriers and needs.

20 Sec. 308. The department shall maintain the starbase program
21 at Air National Guard facilities, as provided under 10 USC 2193b,
22 to improve the knowledge, skills, and interest of students,
23 primarily in the fifth grade, in math, science, and technology. The
24 starbase program is to specifically target minority and at-risk
25 students for participation.

26 Sec. 309. (1) The National Guard test projects fund is created
27 within the state treasury.

28 (2) The state treasurer shall deposit money and other assets
29 received from any source into the fund. The state treasurer shall



1 direct the investment of money in the fund and credit interest and
2 earnings from the investments to the fund.

3 (3) All of the fees and other revenues generated from the
4 operation of the test projects program shall be deposited in the
5 fund.

6 (4) Money in the fund at the close of the fiscal year remains
7 in the fund and does not lapse to the general fund.

8 (5) The department is the administrator of the fund for
9 auditing purposes.

10 (6) Money in the fund shall be available for expenditure for
11 the support of program operations as appropriated in part 1.

12 Sec. 310. (1) The morale, welfare, and recreation fund is
13 created within the state treasury.

14 (2) The state treasurer shall deposit money and other assets
15 received from any source into the fund. The state treasurer shall
16 direct the investment of money in the fund and shall credit
17 interest and earnings from the investments to the fund.

18 (3) The department is the administrator of the fund for
19 auditing purposes.

20 (4) All of the fees and other revenues generated from the
21 operation of the morale, welfare, and recreation program must be
22 deposited in the morale, welfare, and recreation fund. Money in the
23 fund is available for expenditure for the support of program
24 operations as appropriated in part 1.

25 (5) Money remaining in the fund at the close of the fiscal
26 year remains in the fund and does not lapse to the general fund.

27 Sec. 311. (1) The National Guard facilities rental fund is
28 created in the state treasury.

29 (2) The state treasurer shall deposit money and other assets



1 received from any source into the fund. The state treasurer shall
2 direct the investment of money in the fund and shall credit
3 interest and earnings from the investments to the fund.

4 (3) All of the fees and other revenues generated from the
5 operation of the National Guard facilities rental program must be
6 deposited in the fund.

7 (4) Money in the fund at the close of the fiscal year remains
8 in the fund and does not lapse to the general fund.

9 (5) The department is the administrator of the fund for
10 auditing purposes.

11 (6) Money in the fund is available for expenditure for the
12 support of program operations as appropriated in part 1.

13 Sec. 312. Not later than February 1, the department shall
14 provide the report required under section 251(7) of the Michigan
15 military act, 1967 PA 150, MCL 32.651.

16 Sec. 313. The Michigan Army National Guard and Air National
17 Guard shall work to provide a culture that is free of sexual
18 assault, through an environment of prevention, education and
19 training, response capability, victim support, reporting
20 procedures, and appropriate accountability that enhances the safety
21 and well-being of all guard members.

22 Sec. 314. (1) From the funds appropriated in part 1 for the
23 Michigan National Guard member benefit fund, the department shall
24 create and administer a Tricare premium reimbursement program, as
25 provided under the Tricare premium reimbursement program act, 2025
26 PA 36, MCL 32.471 to 32.475.

27 (2) Not later than March 1, the department shall provide a
28 report on the Tricare premium reimbursement program. The report
29 must include, but is not limited to, the following information:



1 (a) The number of eligible members receiving assistance under
2 the program, broken down by service branch and including the amount
3 of the assistance issued, and the total number of National Guard
4 members by service branch.

5 (b) The total funds expended on Tricare premium
6 reimbursements.

7 (c) The total funds expended on the program for administrative
8 costs of the department.

9 (d) Any other pertinent information, as determined by the
10 department, on the program's operations and administration.

11 Sec. 315. (1) From the funds appropriated in part 1 for the
12 Michigan National Guard member benefit fund, the department shall
13 create and administer a child care assistance program as provided
14 under the Michigan National Guard child care assistance act, 2025
15 PA 37, MCL 32.451 to 32.455.

16 (2) Not later than March 1, the department shall provide a
17 report on the Michigan National Guard child care assistance
18 program. The report must include, but is not limited to, the
19 following information:

20 (a) The number of eligible members receiving child care
21 assistance under the program, broken down by service branch and
22 including the amount of the stipend issued, and the total number of
23 National Guard members by service branch.

24 (b) The number of children for whom a stipend was paid and the
25 associated number of hours paid broken down by service branch.

26 (c) The hourly rate paid.

27 (d) The total funds expended on the program for child care
28 stipends.

29 (e) The total funds expended on the program for administrative



1 costs of the department.

2 (f) Any other pertinent information, as determined by the
3 department, on the program's operations and administration.

4 Sec. 316. (1) The general fund/general purpose funds
5 appropriated in part 1 for the Michigan National Guard member
6 benefit fund must be deposited into the restricted Michigan
7 National Guard member benefit fund. All funds in the restricted
8 Michigan National Guard member benefit fund are appropriated and
9 available for expenditure to support the Michigan National Guard's
10 tuition assistance program, Tricare premium reimbursement program,
11 and child care assistance program.

12 (2) As used in this section, "Michigan National Guard member
13 benefit fund" means the Michigan National Guard member benefit fund
14 created in section 3 of the Michigan National Guard member benefit
15 fund act, 2025 PA 31, MCL 32.493.

16
17 **MICHIGAN VETERANS AFFAIRS AGENCY**

18 Sec. 405. (1) The Michigan veterans' trust fund board together
19 with the MVAA shall provide emergency grants for disbursement from
20 the Michigan veterans' trust fund, as provided under the following
21 program authorities:

22 (a) Sections 37, 38, and 39 of article IX of the state
23 constitution of 1963.

24 (b) 1946 (1st Ex Sess) PA 9, MCL 35.602 to 35.610.

25 (c) R 35.1 to R 35.7 of the Michigan Administrative Code.

26 (d) R 35.621 to R 35.623 of the Michigan Administrative Code.

27 (2) Not later than January 15 , the MVAA shall provide a
28 detailed report of the Michigan veterans' trust fund that includes,
29 for the previous fiscal year, the following information:



1 (a) Details concerning the methodology of allocations and the
2 selection of emergency grant program authorized agents.

3 (b) A description of how the emergency grant program is
4 administered in each county.

5 (c) A detailed breakdown of the Michigan veterans' trust fund
6 expenditures for the emergency grant program, including the amount
7 distributed to each county for operating costs, administrative
8 costs and emergency grants.

9 (d) Expenditures for state operating costs and administrative
10 costs.

11 (e) The number of approved emergency grant applications, by
12 category of assistance, and the number of denied applications, by
13 reason of denial.

14 (f) A description of the MVAA's efforts to reduce program
15 administrative costs and maintain the Michigan veterans' trust fund
16 corpus at or above its original amount of \$50,000,000.00.

17 (g) The overall financial status of the Michigan veterans'
18 trust fund, including revenues and year-end balance.

19 (h) Expenditures for program partnerships, delineated by
20 organization, and expenditures for any other program initiatives.

21 Sec. 406. The MVAA shall do all of the following:

22 (a) Provide outreach services to Michigan veterans to advise
23 them on the benefits to which they are entitled, as provided under
24 Executive Reorganization Order No. 2013-2, MCL 32.92.

25 (b) Develop and operate an outreach program that communicates
26 benefit eligibility information to at least 50% of Michigan's
27 population of veterans, as assessed by annual census estimates,
28 with a goal of reaching 100% and enabling 100% to access benefit
29 information online.



1 (c) Communicate veteran benefit information pertaining to the
2 Michigan military family relief fund, Michigan veterans' trust
3 fund, and USDVA health, financial, and memorial benefits to which
4 veterans are entitled.

5 (d) Fulfill requests for military discharge certificates (DD-
6 214) upon request.

7 (e) Not later than March 1, submit a report providing, to the
8 extent known, data on the estimated number of homeless veterans, by
9 county, in this state.

10 (f) Not later than March 1, submit a report on the percentage
11 of Michigan veterans contacted through its outreach programs, with
12 a goal of 90%, and report that percentage on the status of
13 outreach.

14 Sec. 408. From the funds appropriated in part 1, the MVAA
15 shall provide for the regional coordination of services and do all
16 of the following:

17 (a) Coordinate with veteran benefit counselors throughout a
18 specified region.

19 (b) Coordinate services with all state departments and
20 agencies.

21 (c) Coordinate with regional workforce and economic
22 development agencies.

23 (d) Coordinate activities among local foundations, nonprofit
24 organizations, and community groups to improve accessibility,
25 enrollment, and utilization of the array of health care, education,
26 employment assistance, and quality of life services provided at the
27 local level.

28 (e) Work with MVAA service officers, county veteran
29 counselors, VSO service officers, and other service providers to



1 increase awareness of available mental health care resources and
2 support services veterans may be eligible to receive.

3 (f) Coordinate with the DHHS to identify Medicaid recipients
4 who are veterans and who may be eligible for federal veterans
5 health care benefits or other benefits, to the extent that the
6 identification does not violate applicable confidentiality
7 requirements.

8 (g) Collaborate with the department of corrections to create
9 and maintain a process by which prisoners can obtain a copy of
10 their DD-214 form or other military discharge documentation if
11 necessary.

12 (h) Ensure that all MVAA service officers and VSO service
13 officers receive appropriate training in processing applications
14 for benefits payable to veterans due to military sexual trauma,
15 post-traumatic stress disorder, depression, anxiety, substance use
16 disorder, or other mental health issues.

17 (i) Not later than March 1, submit a report on the activities
18 and outcomes of its outreach services, including the percentage of
19 Michigan veterans contacted through its outreach programs.

20 Sec. 410. (1) The MVAA shall provide claims processing
21 services to Michigan veterans in support of benefit claims
22 submitted to the USDVA for the health, financial, and memorial
23 benefits for which they are eligible. The MVAA shall report
24 annually on the number of benefit claims, by type, submitted to the
25 USDVA by MVAA and maintain the staffing and resources necessary to
26 process a minimum of 500 claims per year.

27 (2) The MVAA shall develop and implement a process to ensure
28 that all county veterans counselors receive the training and
29 accreditation necessary to provide quality services to veterans,



1 and not later than March 1, the MVAA shall provide a report for the
2 previous fiscal year that includes information on the number and
3 percentage of county veterans counselors trained by the MVAA, the
4 number and percentage who received funding from the MVAA to attend
5 training, and a description of the training provided, with an
6 overall goal of 100% of county veterans trained.

7 (3) From the funds appropriated in part 1 for MVAA, the MVAA
8 is authorized to expend up to \$100,000.00 to hire legal services to
9 represent veterans benefit cases before federal court to maintain
10 accreditation under 38 CFR 14.628(d)(1)(iv).

11 Sec. 411. (1) From the funds appropriated in part 1 for
12 veterans service grants, the MVAA shall establish, administer, and
13 award competitive grants to 1 or more congressionally chartered
14 VSOs or a coalition of VSOs. The MVAA shall award grants to support
15 efforts to connect veterans and their dependents with federal
16 compensation and pension benefits and state veterans' benefits,
17 including emergency grants through the Michigan veterans' trust
18 fund and other local or nonprofit assistance that may be available
19 to veterans and their dependents. The MVAA shall establish a
20 competitive grant process that satisfies all of the following:

21 (a) Utilizes a service provision model to provide services
22 across the state and can be tracked regionally to ensure that
23 veterans and their dependents in this state, including those within
24 tribal communities, are provided with services, advocacy, and
25 outreach as close to the communities in which they live as
26 possible.

27 (b) Ensures that grantees are providing adequate veteran
28 services and advocacy, through in-person and virtual meetings, that
29 enables the organization to meet performance goals established in



1 the grant agreement.

2 (c) Fosters innovative and transformative approaches and
3 techniques for the grantee to use when providing services,
4 advocacy, and outreach for veterans and their dependents.

5 (d) Requires grantees to use an MVAA-designated internet-based
6 claims data system to manage caseloads. License fees associated
7 with the claims data system described in this subdivision are
8 considered an allowable expenditure and may be reimbursed with
9 grant funds.

10 (e) Requires grantees, in coordination with the MVAA, to
11 provide services to incarcerated veterans who are within 1 year of
12 their earliest release date.

13 (f) Ensures that each grantee is issued performance goals.

14 (g) Ensures that each grantee expends grant awards as
15 prescribed in the grant agreement.

16 (h) Requires each grantee to report not less than quarterly on
17 all of the following:

18 (i) An accounting for all grant fund expenditures.

19 (ii) The number and type of claims originated and submitted by
20 the grantee to the USDVA.

21 (iii) The number and type of claims originated by an
22 organization other than the grantee and submitted by the grantee to
23 the USDVA.

24 (iv) The services provided to veterans and their dependents.

25 (v) Progress in achieving monthly performance benchmark goals.

26 (i) Ensures that each grantee is issued monthly performance
27 benchmark goals that each grantee must aim to achieve and require
28 each grantee to report to the MVAA, in order to ensure that
29 benchmark goals are being achieved, or on target to be achieved, in



1 the fiscal year.

2 (2) The MVAA shall do all of the following:

3 (a) Follow all generally accepted accounting principles in
4 accordance with sections 141 and 485 of the management and budget
5 act, 1984 PA 431, MCL 18.1141 and 18.1485.

6 (b) When establishing, modifying, or amending the competitive
7 grant process described in subsection (1), consult and collaborate
8 with congressionally chartered VSOs in the state, or a coalition of
9 VSOs, and other stakeholders to ensure a comprehensive approach to
10 providing services, advocacy, and outreach to veterans and their
11 dependents.

12 (c) Provide notice to current grantees of any MVAA-proposed
13 modifications or amendments to the competitive grant process and
14 provide those grantees with an opportunity to respond through
15 written communication.

16 (d) Assess the accuracy rate of claims reported by grantees.

17 (e) Review and audit grantees' expenditure of grant funds to
18 ensure compliance with the grant agreement, as provided under
19 section 470 of the management and budget act, 1984 PA 431, MCL
20 18.1470.

21 (3) Not later than January 15, the MVAA shall provide a report
22 summarizing grant activities for the previous fiscal year,
23 including the amount of expenditures, number of service and
24 advocacy hours, number of claims for benefits submitted by type of
25 claim, and other information deemed appropriate by the MVAA.

26 (4) From the funds appropriated in part 1 for veterans service
27 grants, \$214,000.00 must be allocated to cover necessary
28 administrative and implementation costs incurred by the MVAA.

29 (5) The unexpended funds appropriated in part 1 for veterans



1 service grants are designated as a work project appropriation, and
2 any unencumbered or unallotted funds do not lapse at the end of the
3 fiscal year and must be available for expenditures for projects
4 under this section until the projects have been completed. The
5 following is in compliance with section 451a of the management and
6 budget act, 1984 PA 431, MCL 18.1451a:

7 (a) The purpose of the project is to administer and award
8 competitive grants to 1 or more congressionally chartered VSOs or a
9 coalition of VSOs.

10 (b) The project will be accomplished by state employees and
11 grantees.

12 (c) The tentative completion date is September 30, 2028.

13 Sec. 413. (1) The funds appropriated in part 1 for county
14 veteran service grants must be deposited into the restricted county
15 veteran service fund created in section 3a of 1953 PA 192, MCL
16 35.623a. All available funds in the restricted county veteran
17 service fund are appropriated and available for expenditure as
18 provided by law.

19 (2) From the restricted county veteran service fund created in
20 section 3a of 1953 PA 192, MCL 35.623a, \$214,000.00 must be
21 allocated to the MVAA to cover necessary administrative and
22 implementation costs incurred by the MVAA.

23 (3) The MVAA shall provide a report not later than January 31
24 that includes the following information for the previous fiscal
25 year:

26 (a) A list of counties that received a grant under this
27 section and details concerning the methodology of allocations,
28 including, but not limited to, all program information distributed
29 by the MVAA to counties and any applicable timelines and deadlines



1 imposed by the MVAA.

2 (b) The base, per capita, and total amounts of grant funding
3 each county received under section 3a(6) of 1953 PA 192, MCL
4 35.623a, including any amount of funding provided under the
5 emergent need relief program pursuant to section 3a(10) of 1953 PA
6 192, MCL 35.623a.

7 (c) A summary of each county's expenditures of grant funding.

8 (d) The amount of any unexpended grant funding disbursed to
9 the counties that has been recovered and returned to the county
10 veteran service fund.

11 (e) The balance of the county veteran service fund at the
12 close of the fiscal year.

13 (f) A list of counties that have requested funds in the
14 current fiscal year, the amount requested by each county, and the
15 total of these amounts.

16 (g) A list of counties that did not request funds in the
17 current fiscal year.

18 (h) The amount of any funds recovered by the MVAA through the
19 MVAA's finding of misused grant funds.

20 (i) An explanation of any obstacles or reasons for counties
21 not applying for or spending their eligible amount of grant
22 funding.

23 (j) The amount expended by the MVAA for grant administration
24 and implementation costs.

25 (k) Details concerning the methodology of allocations and the
26 selection of emergency grant program authorized agents.

27 (4) The MVAA shall notify the legislature not later than 30
28 days after any changes, alterations, or modifications are made to
29 the amount of grant funding awarded to a county under section 3a of



1 1953 PA 192, MCL 35.623a.

2 (5) On a quarterly and annual basis, but not more than
3 quarterly, a county that receives grant funding under section 3a of
4 1953 PA 192, MCL 35.623a, shall submit a report to the MVAA that
5 includes, but is not limited to, all of the following:

6 (a) A line-item accounting of all expenditures made using
7 grant funds, including, but not limited to, salaries, training,
8 outreach, equipment, transportation, and operational expenses.

9 (b) A breakdown of the number of veterans served using grant
10 funds, including the number of veterans assisted, the types of
11 services provided, and the number and types of claims submitted.

12 (c) A comparison of the costs associated with delivering
13 services or products to veterans to the amount of grant funding
14 spent on delivering those services or products.

15 (d) A verification of county match funding, including
16 documentation that the county has maintained at least 70% of the
17 funding level from the previous fiscal year for veteran services.

18 (e) A description of how county expenditures align with the
19 intended outcomes of the county veteran service grant program,
20 including any challenges or deviations from planned activities.

21 (f) A certification, signed by the county veteran service
22 officer and a county fiscal officer, affirming that all
23 expenditures comply with county veteran service grant conditions
24 and applicable law.

25 (6) A county that receives grant funding under section 3a of
26 1953 PA 192, MCL 35.623a, shall use the grant funding only for
27 allowable expenditures. As used in this subsection, "allowable
28 expenditures" means any of the following:

29 (a) Payroll and salaries.



1 (b) Staff onboarding and training.

2 (c) Office space.

3 (d) Information technology and equipment.

4 Sec. 414. (1) The veterans service fund is created in the
5 state treasury.

6 (2) The state treasurer shall deposit money and other assets
7 received from any source in the fund. The state treasurer shall
8 direct the investment of money in the fund and credit interest and
9 earnings from the investments to the fund.

10 (3) Money in the fund at the close of the fiscal year remains
11 in the fund and does not lapse to the general fund.

12 (4) The department is the administrator of the fund for
13 auditing purposes.

14 (5) The department shall expend money in the fund, as provided
15 by law.

16 Sec. 415. Not later than January 15, the MVAA shall submit a
17 report that includes all of the following:

18 (a) An analysis on the scope of homelessness among the state's
19 veteran population, including the estimated number of homeless
20 veterans, by county.

21 (b) Challenges to securing housing for homeless veterans.

22 (c) Recommendations for future long-term partnerships between
23 the Michigan state housing development authority, the MVAA,
24 municipalities, and nonprofit organizations that could assist in
25 eliminating homelessness among veterans in this state.
26 Recommendations under this subdivision must minimize additional
27 costs to local units of government.

28 (d) Activities of the MVAA in the previous fiscal year to
29 support homeless veterans or eliminate homelessness among veterans.



1 Sec. 416. From the funds appropriated in part 1, the
2 department may partner with the DHHS to facilitate and administer a
3 program to contract with or provide grants to local health care
4 providers to accelerate the clinical research and deployment of
5 promising investigational treatments for suicide prevention that
6 have been granted breakthrough therapy designation by the United
7 States Food and Drug Administration and are eligible for expanded
8 access as defined by the United States Food and Drug
9 Administration, specifically for the treatment of post-traumatic
10 stress disorder, major depressive disorder, or treatment-resistant
11 depression in veterans of the United States military and first
12 responders.

13
14 **MICHIGAN VETERANS' FACILITY AUTHORITY**

15 Sec. 502. (1) From the funds appropriated in part 1, the MVH
16 and the MVFA shall provide compassionate and quality nursing care
17 services at each veterans' facility in this state so that resident
18 members can achieve their highest potential of wellness,
19 independence, self-worth, and dignity. The MVFA and the MVH shall
20 provide nursing care services to veterans in accordance with
21 federal standards and report the results of the annual USDVA and
22 CMS surveys and certification as proof of compliance.

23 (2) Appropriations in part 1 for a veterans' facility shall
24 not be used for any purpose other than expenses related to the
25 operations of the veterans' facility.

26 Sec. 503. All contractors providing health care services at a
27 veterans' facility shall provide services in a manner that complies
28 with applicable USDVA and CMS regulations for state veterans' homes
29 and skilled nursing facilities, any rules governing the operation



1 of nursing homes licensed in this state, and any training and
2 education requirements associated with staff licensure or
3 certification.

4 Sec. 504. (1) The MVFA shall report and investigate all
5 complaints of abuse or neglect at a veterans' facility in
6 compliance with USDVA and CMS regulations for state veterans' homes
7 and skilled nursing facilities. The MVFA shall report on a
8 bimonthly basis the following information:

9 (a) A description of the process by which resident members and
10 others may file complaints of alleged abuse or neglect at a
11 veterans' facility.

12 (b) Summary statistics on the number and general nature of
13 complaints of abuse or neglect.

14 (c) Summary statistics on the final disposition of complaints
15 of abuse or neglect received.

16 (2) The MVFA shall display in high-traffic areas throughout
17 the veterans' facility the process by which visitors, resident
18 members, and staff of the veterans' facility may register
19 complaints.

20 Sec. 505. The MVH shall do the following regarding member
21 care:

22 (a) Provide board-certified psychiatric care for all resident
23 members with mental health disorders in order to ensure that those
24 resident members receive needed services in a professional and
25 timely manner.

26 (b) Provide all resident members and staff a safe and secure
27 environment.

28 (c) Ensure that the veterans' facility effectively develops,
29 executes, and monitors all comprehensive care plans in accordance



1 with federal regulations and the veterans' facility's internal
2 policies, with a goal that a comprehensive care plan is fully
3 developed for all resident members.

4 Sec. 506. The MVH shall establish and implement internal
5 controls regarding all of the following:

6 (a) The use and management of food, maintenance, and
7 pharmaceutical and medical supply inventories.

8 (b) Calculating resident member maintenance assessments in
9 order to accurately calculate resident member maintenance
10 assessments for each billing cycle and ensure that all past due
11 resident member maintenance assessments are addressed within 30
12 days.

13 (c) Monetary donations and donated goods.

14 (d) The handling of resident member funds to ensure the
15 release of funds within 15 calendar days upon the resident member
16 leaving the home and to ensure that a representative of a resident
17 member is provided a full accounting of that resident member's
18 funds within 30 calendar days after the death of that resident
19 member.

20 (e) Financial reporting and accounting.

21 Sec. 507. (1) The MVH shall post on its website the following:

22 (a) All policies adopted by the MVFA and the veterans'
23 facility related to the administrative operations of the veterans'
24 facility.

25 (b) The agenda and minutes of public meetings of the MVFA
26 board.

27 (2) The MVH shall provide a report with copies of each
28 veterans' facility's USDVA State Veteran Home quarterly report.
29 These quarterly reports shall also be posted on the MVH website and



1 these reports must include statistics and information that
2 demonstrates the performance of MVH compared to available state and
3 national veterans' homes or nursing homes.

4 (3) Not later than January 15, the MVH shall provide a report
5 on the following:

6 (a) Census data for each veterans' facility, including
7 information on level of care, service era of its resident members,
8 payer source, and average income and assessment rate.

9 (b) Per patient daily care hours provided by each veterans'
10 facility, by level of care.

11 (4) The MVH shall provide a bimonthly report on the financial
12 status of each veterans' facility and central MVFA/MVH
13 administration. Information shall include, but not be limited to,
14 actual year-to-date and projected year-end revenues and
15 expenditures, by fund source.

16 (5) The MVH shall provide a report on the results of any
17 annual or for-cause survey conducted by any entity with oversight
18 over the veterans' facility and any corresponding corrective action
19 plan. This information shall also be made available publicly
20 through the MVH website.

21 (6) In addition to the information required under section
22 12(1) of the Michigan veterans' facility authority act, 2016 PA
23 560, MCL 36.112, not later than January 31, the MVFA shall provide
24 a report detailing the strategies and actions taken to maximize
25 revenues from non-general fund sources and cost savings strategies.

26 Sec. 508. In addition to the funds appropriated in part 1,
27 private revenues held by the MVH on a nonfiduciary basis for a
28 resident member of a veterans' facility are appropriated to pay
29 medical expenses, member assessments, and other expenses incurred



1 by that resident member. Any unexpended or unencumbered private
 2 revenues held on a nonfiduciary basis by the MVH at the close of
 3 the fiscal year do not lapse to the general fund and must be
 4 carried forward into the subsequent fiscal year.

5 Sec. 509. Not later than January 15 , the MVFA shall provide a
 6 report on the construction, operation, and finances of the new
 7 Marquette veterans home funded in article 14 of 2022 PA 166.

8 Sec. 510. Except as otherwise provided by law, any unexpended
 9 and unencumbered federal revenues received by the MVFA do not lapse
 10 to the state general fund and must be carried forward into the
 11 subsequent fiscal year.

12 Sec. 511. The department, with the approval of the state
 13 budget office, is authorized to realign federal revenues sources of
 14 the MVFA. This realignment of federal fund sourcing must not
 15 produce a gross increase or decrease in the total authorization for
 16 the individual MVFA line-item appropriations. The department shall
 17 provide a quarterly report to the standard report recipients on
 18 actions taken under this section.

19
 20 **CAPITAL OUTLAY**

21 Sec. 601. (1) The department shall provide for the acquisition
 22 and disposition of National Guard armories, facilities, and lands
 23 as provided under sections 368, 382, and 382a of the Michigan
 24 military act, 1967 PA 150, MCL 32.768, 32.782, and 32.782a.

25 (2) The department shall provide a listing of property sales
 26 and acquisitions annually.

27 Sec. 602. (1) The appropriations for armory maintenance and
 28 special maintenance - National Guard must be expended in accordance
 29 with the requirements of sections 302 and 305 and must be expended



1 according to the maintenance priorities of the department to repair
2 and modernize military training sites and support facilities,
3 including armories.

4 (2) Not later than January 15, the department shall provide a
5 report providing information on the status, projected costs, and
6 projected completion date of current and planned special
7 maintenance projects at the armories and other National Guard
8 facilities funded from capital outlay appropriations made in part 1
9 and in previous fiscal years.

10 Sec. 603. (1) The appropriations for special maintenance -
11 veterans' facility must be expended in accordance with the
12 requirements of section 502 and must be expended according to the
13 maintenance priorities of the MVFA to repair and modernize the
14 state's veterans' facility, which may include physical plant
15 expansions, renovations, or enhancements, and other projects
16 designed to enhance the quality of life and medical care of
17 resident members.

18 (2) Not later than January 15, the MVH shall provide a report
19 providing information on the status, projected costs, and projected
20 completion date of current and planned special maintenance projects
21 at each veterans' facility funded from capital outlay
22 appropriations made in part 1 and in previous fiscal years.

23 PART 2A

24 PROVISIONS CONCERNING APPROPRIATIONS

25 FOR FISCAL YEAR 2025-2026

26
27 **GENERAL SECTIONS**

28 Sec. 1201. In accordance with section 30 of article IX of the
29 state constitution of 1963, for the fiscal year ending September



30, 2026, total state spending from state sources under part 1A is \$152,000,000.00 and total state spending from state sources under part 1A to be paid to local units of government is \$0.00.

Sec. 1202. The appropriations under this part and part 1A are subject to the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

DEPARTMENT OF MILITARY AND VETERANS AFFAIRS

Sec. 1301. (1) Funds appropriated in part 1A for Selfridge Air National Guard Base must be used to support costs of runway encroachment solutions while complying with air installation compatible use zone program recommendations, including, but not limited to, all of the following:

(a) Capital improvements necessary to shift the runway to the north and repair the airfield and nonairfield features of the base and surrounding community impacted by the shift.

(b) Infrastructure projects including, but not limited to, roadways repairs, vehicle access to the base and to the museum, stormwater drain and culvert repairs and modernization, force protection features, airfield features, and taxiway extensions.

(2) Unexpended funds appropriated in part 1A for Selfridge Air National Guard Base are designated as a work project appropriation. Unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support costs of runway encroachment solutions.



1 (b) The project will be accomplished by utilizing state
2 employees, contracts with service providers, or both.

3 (c) The total estimated cost of the project is
4 \$152,000,000.00.

5 (d) The tentative completion date is September 30, 2027.

6 Sec. 1302. (1) The department shall identify 1 or more of the
7 following methods for funding Selfridge Air National Guard Base
8 under part 1A:

9 (a) Unobligated work project account balances associated with
10 the strategic outreach and attraction reserve fund created in
11 section 4 of the Michigan trust fund act, 2000 PA 489, MCL 12.254,
12 or other lapsed account balances determined by the state budget
13 director.

14 (b) Unobligated general fund/general purpose or federal
15 appropriations that are eligible to support Selfridge Air National
16 Guard Base infrastructure improvements.

17 (c) Special obligation bond financing through the Michigan
18 strategic fund created in section 5 of the Michigan strategic fund
19 act, 1984 PA 270, MCL 125.2005.

20 (2) The department must make every effort to fully utilize the
21 funding options and available revenues identified in subsection
22 (1). After identifying 1 or more of the funding sources under
23 subsection (1) and amounts available from those funding sources
24 that will be used to support Selfridge Air National Guard Base, the
25 department shall identify any remaining costs.

26 (3) Pursuant to section 352 of the management and budget act,
27 1984 PA 431, MCL 18.1352, there is appropriated from the
28 countercyclical budget and economic stabilization fund created
29 under section 351 of the management and budget act, 1984 PA 431,



1 MCL 18.1351, an amount equal to the amount identified by the
2 department under subsection (2) to support remaining costs for
3 Selfridge Air National Guard Base appropriated in part 1A. The
4 annual growth rate for the current calendar year was estimated to
5 be less than 0% at the most recent consensus revenue estimating
6 conference.